

Law to Curb Unsought Credit Cards Foreseen

**They Fuel Inflation, Spur Bankruptcy,
Aid Crime, Witnesses Tell Senate Panel**

WASHINGTON, Dec. 16 — A Senate panel is ready to brand unsolicited credit cards as a plastic menace amid growing signs Congress is prepared to vote strict controls or ban them from the mails entirely.

Witnesses before the Senate's financial institutions subcommittee have accused unsolicited bank credit cards of causing bankruptcies, fueling inflation, invading privacy and adding a new and lucrative arm to organized crime.

But the two federal agencies most concerned with the problem—the Federal Trade Commission and the Federal Reserve Board—are divided on the issue and the Nixon Administration has backed away from an earlier call for an outright ban on mass credit-card mailings.

Controls Predicted

Sen. William Proxmire (D-Wis.), who has just concluded his second hearing in two years on problems caused by the cards, predicted in an interview the Senate will pass controls of some kind next year.

A stumbling block, however, Proxmire said, is the fear a total ban would provide an undeserved windfall for firms already in the credit-card field by insulating them from effective future competition.

"But unless we bring unsolicited credit cards under control," Proxmire said, "we are likely to produce a nation of credit drunks."

"It is ironic that in these inflationary times commercial banks continue to send out still more credit cards urging the consumer to buy more at a time of 18½-a-year interest."

"For those who are prudent the credit card could be a convenient device. But for the less prudent, an unsolicited credit card could spell disaster."

Robert L. Meade, legislative-affairs director of the President's Committee on Consumer Interests, blamed the credit cards

for a 700% rise in mail-fraud cases in recent years.

Meade's testimony that organized crime has set a \$100 black market price tag on stolen cards was backed up by Brooklyn's district attorney who said racketeers charge about \$500 for forged identity kits to facilitate use of stolen cards.

The official, Eugene Gold, said organized racketeers have used stolen cards to pay for transportation around the country and to obtain illegally hundreds of thousands of dollars worth of merchandise.

But while Meade said problems caused by the cards are serious, he called for further study before Congress acts.

"The Nixon Administration is going to study this problem to death," Proxmire commented. He said Meade in a hearing three months ago had put the Administration on record as flatly opposing the

practice of mailing unsolicited cards.

The Proxmire bill would require a credit-card issuer to first determine the credit readiness of people receiving the cards. It would authorize the Federal Reserve Board to issue regulations to control the indiscriminate distribution of cards.

It would also limit a consumer's liability — if the card is lost or stolen — to no more than \$50.

But Andrew F. Brimmer, a member of the Board of Governors of the Federal Reserve System, testified he does not believe the board is the proper body to take on that job.

Brimmer said he is not convinced that any law is needed and added:

"There have been no developments to date that,

in the board's judgment, would warrant preventing this method of card distribution."

Rep. James M. Hanley (D-N.Y.) has introduced a stricter bill which would ban unsolicited credit cards from the mails unless they are sent by registered mail and the sender agrees to pay return postage if the card is rejected.